



NOTES TO THE STANDALONE FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 29 : CORPORATE SOCIAL RESPONSIBILITY EXPENSES

(Rs. in Crores)

	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
CSR Expenses	46.46	52.89
Total	46.46	52.89

CSR Policy framed by Coal India Ltd. Incorporated the features of the Companies Act, 2013 and other relevant notifications. The fund for CSR, 2% of the average net profit for the three immediate preceding financial years or Rs.2.00 per tonne of coal production of previous year, whichever is higher, comes to Rs. 46.46 Crs. (P.Y. Rs. 42.73 Crs.).

A. Activity wise break-up of CRS Expenses:

Eradicating hunger, poverty and malnutrition	15.72	0.02
Promoting education, including special education and employment enhancing vocation skills	3.00	3.99
Environmental sustainability	2.14	0.57
Training to promote rural sports, nationally recognised sports, paralympic sports and olympic sports	7.41	15.13
Contributions to Universities and Research Institutes	0.54	—
Rural development projects	0.38	1.62
Slum area development	0.01	0.01
Drinking Water	3.82	5.76
Health care	21.94	7.15
Sanitation	1.47	18.23
Welfare of Differently abled	0.09	0.40
Welfare of senior citizen	0.03	—
Others	0.05	0.01
Total	56.60	52.89

B. CSR Expenditure Break-up

(Rs. in Crores)

Particulars	In Cash	Yet to be paid in cash	Total
(a) Amount Required to be spent during the year			46.46
(b) Amount approved by the Board to be spent during the year			46.46
(c) Amount spent during the year on:			
(i) Construction/acquisition of any assets	5.19	1.25	6.44
(ii) On purpose other than (i) above	48.80	1.36	50.16
Total	53.99	2.61	56.60



NOTES TO THE STANDALONE FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 29 : CORPORATE SOCIAL RESPONSIBILITY EXPENSES (Contd...)

C. Unspent amount Other than ongoing Project [Section 135(5)]

(Rs. in Crores)

	Opening Balance	Amount deposited in Specified Fund of Sch. VII within 6 months	Amount required to be spent during the year	Amount spent during the year	Closing Balance
Unspent amount Other than ongoing Project	—	—	—	—	—

D. Excess amount spent [Section 135(5)]

(Rs. in Crores)

Financial Year	Opening Balance	Amount Required to be spent during the year	Amount spent during the year	Closing Balance
2020-21	—	46.46	56.60	10.14

E. Ongoing Project [Section 135(6)]

(Rs. in Crores)

Financial Year	Opening Balance		Amount required to be spent during the year	Amount spent during the year		Closing Balance	
	With Company	In separate CSR Unspent A/c		From Company's bank A/C	From Separate CSR Unspent A/C	with Company	In Separate CSR Unspent A/C
	—	—	—	—	—	—	—



NOTES TO THE STANDALONE FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 30 : REPAIRS

	(Rs. in Crores)	
	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Building	153.55	196.80
Plant & Machinery*	110.47	128.30
Others	23.89	21.99
Total	287.91	347.09

* Netted off with workshop Debit of Rs. 182.96 Crs. (P.Y. Rs. 172.00 Crs.).

NOTE 31 : CONTRACTUAL EXPENSES

	(Rs. in Crores)	
	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Transportation Charges	552.92	347.90
Wagon Loading	41.18	30.69
Hiring of Plant and Equipments	927.21	1,067.96
Other Contractual Work	116.80	157.49
Total	1,638.11	1,604.04

**CENTRAL COALFIELDS LIMITED**

(A Mini Ratna PSU)

A Subsidiary of Coal India Limited

NOTES TO THE STANDALONE FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021**NOTE 32 : FINANCE COSTS**

(Rs. in Crores)

	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Borrowings	4.98	-
Unwinding of discounts	78.91	75.09
Others	0.35	0.53
Total	84.24	75.62

NOTE 33 : PROVISIONS

(Rs. in Crores)

	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Allowance/Provision made for		
Doubtful debts	4.88	—
Doubtful Advances & Claims	5.40	7.52
Stores & Spares	2.65	—
Others (Prov. on CWIP)	0.67	1.46
Total (A)	13.60	8.98

NOTE 34 : WRITE OFF (Net of Provisions)

(Rs. in Crores)

	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Doubtful debts	—	27.90
Less :- Provided earlier	—	—
	—	—
Doubtful advances	—	—
Less :- Provided earlier	—	—
	—	—
Total	—	27.90



NOTES TO THE STANDALONE FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 35 : OTHER EXPENSES

(Rs. in Crores)

	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Travelling expenses	21.26	32.55
Training Expenses	11.09	9.70
Telephone & Postage	6.77	6.07
Advertisement & Publicity	1.90	2.24
Freight Charges	—	—
Demurrage	21.20	66.63
Security Expenses	285.87	219.18
Service Charges of CIL	62.59	66.89
Hire Charges	55.90	61.28
CMPDI Charges	74.54	66.96
Legal Expenses	1.76	8.08
Consultancy Charges	1.47	0.81
Under Loading Charges	154.28	165.34
Loss on Sale/Discard/Surveyed of Assets	1.52	3.05
Auditor's Remuneration & Expenses		
For Audit Fees	0.36	0.20
For Taxation Matters	—	—
For Other Services	0.23	0.23
For Reimbursement of Exps.	0.19	0.09
Internal & Other Audit Expenses	3.15	3.21
Rehabilitation Charges	39.20	40.30
Rent	0.57	0.25
Rates & Taxes	152.57	248.21
Insurance	0.71	0.76
Loss on Exchange rate variance	—	—
Rescue/Safety Expenses	2.49	2.72
Dead Rent/Surface Rent	0.15	0.29
Siding Maintenance Charges	22.83	10.68
R & D expenses	—	—
Environmental & Tree Plantation Expenses	6.41	2.86
Expenses on Buyback of shares	—	—
Miscellaneous expenses	59.09	72.44
Total	988.10	1,091.02

1. Rehabilitation Charges as per the directives of Ministry of Coal, Rs. 39.20 Cr. (P.Y. Rs. 40.30 Cr.) is debited on the basis of debit memo received from CIL.
2. Service Charges amounting to Rs. 62.59 Cr. (P.Y. Rs. 66.89 Cr.) levied by CIL, the Holding Company @ Rs. 10 per tonne of coal produced towards rendering various services like procurement, marketing, Corporate Service etc. based on debit memo received from CIL.

**CENTRAL COALFIELDS LIMITED**

(A Mini Ratna PSU)

A Subsidiary of Coal India Limited

NOTES TO THE STANDALONE FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021**NOTE 36 : TAX EXPENSE**

(Rs. in Crores)

	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Current Year	522.60	889.32
Deferred tax	169.30	195.65
MAT Credit Entitlement	—	—
Earlier Years	—	—
Total	691.90	1,084.97

Reconciliation of Tax Expenses and Accounting profit multiplied by India's domestic Tax rate

Profit before Tax	1,913.18	2,932.72
Tax using the Company's domestic tax rate of 25.168% (P.Y. 34.944%)	481.51	738.11
Tax effect of:		
Non-deductible Tax Expenses	41.09	152.00
Tax-exempt Income	—	(0.79)
Adjustment in respect of current Income tax of Previous Year	—	—
Income Tax Expenses reported in Statement of Profit & Loss	522.60	889.32
Effective Income Tax Rate	27.32 %	30.32%

Deferred Tax Assets/ (Liability)

Deferred Tax Liability :		
Related to Fixed Assets	92.42	18.04
Others	—	—
Total Deferred Tax Liability	92.42	18.04
Deferred Tax Assets:		
Provision for Doubtful Advances, Claims & Debts	213.32	290.85
Provision for Employee Benefits	438.39	465.63
Others	114.85	105.00
Total Deferred Tax Assets	766.56	861.48
Net Deferred Tax Assets/(Deferred Tax Liability)	674.14	843.44

NOTE 37 : OTHER COMPREHENSIVE INCOME

(Rs. in Crores)

	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
(A) Items that will not be reclassified to profit or loss		
Remeasurement of defined benefit plans	(85.90)	(326.38)
Total (A)	(85.90)	(326.38)
(B) Income tax relating to items that will not be reclassified to profit or loss		
Remeasurement of defined benefit plans	(21.62)	(82.14)
Total (B)	(21.62)	(82.14)
Total [C = A – B]	(64.28)	(244.24)



NOTE – 38
ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31st MARCH, 2021 (STANDALONE)

1. FAIR VALUE MEASUREMENT

(a) Financial Instruments by Category

(Rs. in Crores)

	31st March 2021		31st March 2020	
	FVTPL	Amortised cost	FVTPL	Amortised cost
Financial Assets				
Investments* :	—	—	—	—
Preference Shares				
– Equity Component	—	—	—	—
– Debt Component	—	—	—	—
Mutual Fund/ICD	—	—	0.48	—
Other Investments	—	—	—	—
Loans	—	0.49	—	0.55
Deposits & receivable	—	1,507.23	—	1,545.00
Trade receivables	—	3,402.53	—	2,492.11
Cash & cash equivalents	—	226.69	—	117.94
Other Bank Balances	—	986.69	—	490.85
Financial Liabilities				
Borrowings	—	—	—	—
Trade payables	—	1,367.47	—	1,197.91
Security Deposit and Earnest money	—	324.29	—	350.79
Other Liabilities	—	893.16	—	528.51

* Investment in Equity Shares in Subsidiary, not included above is measured at cost which stands at Rs. 64.63 Crores as on 31.03.2021 (Rs. 32.00 Crores as on 31.03.2020).

(b) Fair value hierarchy

Table below shows judgments and estimates made in determining the fair values of the financial instruments that are (a) recognized and measured at fair value and (b) measured at amortized cost and for which fair values are disclosed in the financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the company has classified its financial instruments into the three levels prescribed under the accounting standard.

(Rs. in Crores)



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Financial assets and liabilities measured at fair value	31st March 2021		31st March 2020	
	Level 1	Level 3	Level 1	Level 3
Financial Assets at FVTPL				
Investments :				
Mutual Fund/ICD	—	—	0.48	—
Financial Liabilities				
If any item	—	—	—	—

Financial assets and liabilities measured at amortised cost for which fair values are disclosed at 31st March, 2021	31st March 2021		31st March 2020	
	Level 1	Level 3	Level 1	Level 3
Financial Assets				
Investments:				
Preference Shares				
– Equity Component	—	—	—	—
– Debt Component	—	—	—	—
Mutual Fund/ICD	—	—	—	—
Other Investments	—	64.63	—	32.00
Loans	—	0.49	—	0.55
Deposits & receivable	—	1,507.23	—	1,545.00
Trade receivables	—	3,402.53	—	2,492.11
Cash & cash equivalents	—	226.69	—	117.94
Other Bank Balances	—	986.69	—	490.85
Financial Liabilities				
Borrowings	—	—	—	—
Trade payables	—	1,367.47	—	1,197.91
Security Deposit and Earnest money	—	324.29	—	350.79
Other Liabilities	—	893.16	—	528.51

A brief of each level is given below.

Level 1 : Level 1 hierarchy includes financial instruments measured using quoted prices. This includes Mutual fund which is valued using closing Net Asset Value (NAV) as at the reporting date.

Level 2: The fair value of financial instruments that are not traded in an active market is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

included in level 2.

Level 3: If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity securities, preference shares borrowings, security deposits and other liabilities taken.

(c) Valuation technique used in determining fair value

Valuation techniques used to value financial instruments include the use of quoted market prices (NAV) of instruments in respect of investment in Mutual Funds.

(d) Fair value measurements using Significant Unobservable Inputs

At present there are no fair value measurements using significant unobservable inputs.

(e) Fair values of financial assets and liabilities measured at amortised cost

- The carrying amounts of trade receivables, short term deposits, cash and cash equivalents, trade payables are considered to be the same as their fair values, due to their short-term nature.
- The Company considers that the Security Deposits does not include a significant financing component. The security deposits coincide with the company's performance and the contract requires amounts to be retained for reasons other than the provision of finance. The withholding of a specified percentage of each milestone payment is intended to protect the interest of the company, from the contractor failing to adequately complete its obligations under the contract. Accordingly, transaction cost of Security deposit is considered as fair value at initial recognition and subsequently measured at amortised cost.

Significant estimates : The fair value of financial instruments that are not traded in an active market is determined using valuation techniques. The Company uses its judgment to select a method and makes suitable assumptions at the end of each reporting period.

2. FINANCIAL RISK MANAGEMENT

Financial Risk Management Objectives and Policies

The Company's principal financial liabilities comprise trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations and to provide guarantees to support its operations. The Company's principal financial assets include loans, trade and other receivables, and cash and cash equivalents that is derived directly from its operations.

The Company is exposed to market risk, credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The Company's senior management is supported by a risk committee that advises, inter alia, on financial risks and the appropriate financial risk governance framework for the Company. The risk committee provides assurance to the Board of Directors that the Company's financial risk activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company's policies and risk objectives. The Board of Directors reviews and agrees to policies for managing each of these risks, which are summarized below.

This note explains the sources of risk which the entity is exposed to and how the entity manages the risk and the impact of hedge accounting in the financial statements.

**NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)**

Risk	Exposure arising from	Measurement	Management
Credit Risk	Cash and Cash equivalents, trade receivables financial asset measured at amortised cost	Ageing analysis / Credit rating	Department of Public enterprises (DPE) guidelines, diversification of bank deposits credit limits and other securities
Liquidity Risk	Borrowings and other liabilities	Periodic cash flows	Availability of committed credit lines and borrowing facilities
Market Risk for foreign exchange	Future commercial transactions, recognised financial assets and liabilities not denominated in INR	Cash flow forecast sensitivity analysis	Regular watch and review by senior management and audit committee.
Market Risk-interest rate	Cash and Cash equivalents, Bank deposits and mutual funds	Cash flow forecast sensitivity analysis	Department of public enterprises (DPE) guidelines, Regular watch and review by senior management and audit committee.

The Company risk management is carried out by the Board of Directors as per DPE guidelines issued by Government of India. The Board provides written principles for overall risk management as well as policies covering investment of excess liquidity.

A. Credit Risk :**Credit risk management :**

Receivables arise mainly out of sale of Coal. Sale of Coal is broadly categorized as sale through fuel supply agreements (FSAs) and e-auction.

Macro - economic information (such as regulatory changes) is incorporated as part of the fuel supply agreements (FSAs) and e-auction terms.

Fuel Supply Agreements (FSAs)

As contemplated in and in accordance with the terms of the New Coal Distribution Policy (NCDP), the company enters into legally enforceable FSAs with customers or with State Nominated Agencies that in turn enters into appropriate distribution arrangements with end customers. Our FSAs can be broadly categorized into:

- FSAs with customers in the power utilities sector, including State power utilities, private power utilities ("PPUs") and independent power producers ("IPPs");
- FSAs with customers in non-power industries (including captive power plants ("CPPs"); and
- FSAs with State Nominated Agencies.

E-Auction Scheme

The E-Auction scheme of coal has been introduced to provide access to coal for customers who were not able to source their coal requirement through the available institutional mechanisms under the NCDP for various reasons, for example, a less than full allocation of their normative requirement under NCDP, seasonality of their coal requirement and limited requirement of coal that does not warrant a long-term linkage. The quantity of coal to be offered under E-Auction is reviewed from time to time by the Ministry of Coal.

Provision For Expected Credit Loss : The Company provides for expected credit risk loss for doubtful/ credit impaired assets, by lifetime expected credit losses (Simplified approach).



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Expected Credit losses for trade receivables under simplified approach:

As on 31.03.2021

(Rs. in Crs.)

Ageing	Due for 2 months	Due for 6 months	Due for 1 year	Due for 2 years	Due for 3 years	Due for more than 3 years	Total
Gross Carrying Amount	1,020.24	1150.88	654.94	812.77	116.48	458.30	4,213.61
Expected Loss rate (%)	0.16	9.37	6.30	7.18	64.10	100.00*	19.25
Expected Credit Loss allowance – Doubtful debts	—	—	—	—	—	288.26	288.26
- Grade variance	1.59	107.80	41.28	58.39	74.67	239.09	522.82

As on 31.03.2020

(Rs. in Crs.)

Ageing	Due for 2 months	Due for 6 months	Due for 1 year	Due for 2 years	Due for 3 years	Due for more than 3 years	Total
Gross Carrying Amount	984.27	927.19	742.10	489.34	136.34	337.40	3616.64
Expected Loss rate (%)	6.77	21.29	17.51	53.02	100.00	92.18	31.09
Expected Credit Loss allowance – Doubtful debts	—	—	—	126.16	48.24	108.98	283.38
- Grade variance	66.60	197.36	129.95	133.30	111.90	202.04	841.15

* includes Provision against customers with advances

Reconciliation of loss allowance provision – Trade receivables

(Rs. in Crs.)

Particulars	Bad & Doubtful Debts	Quality Variance
Loss allowance on 01.04.2020	283.38	841.15
Change in loss allowance	4.88	(318.33)
Loss allowance on 31.03.2021	288.26	522.82

Significant estimates and judgments for Impairment of financial assets

The impairment provisions for financial assets disclosed above are based on assumptions about risk of default and expected loss rates. The Company uses judgment in making these assumptions and selecting the inputs to the impairment calculation, based on the Company's past history, existing market conditions as well as forward looking estimates at the end of each reporting period.

B. Liquidity Risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities and the availability of funding through an adequate amount of committed credit facilities to meet obligations when due. Due to the dynamic nature of the underlying businesses, Company treasury maintains flexibility in funding by maintaining availability under committed credit lines.

Management monitors forecasts of the Company's liquidity position (comprising the undrawn borrowing facilities) and cash and cash equivalents on the basis of expected cash flows. This is generally carried out at local level in accordance with practice and limits set by the Company. The bank borrowings of Central Coalfields Limited has been secured by creating charge against stock of coal, stores and spare parts and book debts within consortium of banks. The total working capital credit limit available to CCL is Rs. 55.00 Crore, of which fund based limit is Rs. 83.00 Crore. Further, Rs. 2000.00 Crore was set up as non-fund based limit outside consortium in order to facilitate import of HEMM. Coal India Limited is contingently liable to the extent such facility is actually utilized by the Subsidiary Companies.



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

C. Market Risk

(a) Foreign currency risk

Foreign currency risk arises from future commercial transactions and recognized assets or liabilities denominated in a currency that is not the Company's functional currency (INR). The Company is exposed to foreign exchange risk arising from foreign currency transactions. Foreign exchange risk in respect of foreign operation is considered to be insignificant. The Company also imports and risk is managed by regular follow up. Company has a policy which is implemented when foreign currency risk becomes significant.

(b) Cash flow and fair value interest rate risk

The Company's main interest rate risk arises from bank deposits. Change in interest rate exposes the Company to cash flow interest rate risk. Company policy is to maintain most of its deposits at fixed rate.

Company manages the risk using guidelines from Department of public enterprises (DPE), diversification of bank deposits credit limits and other securities.

Capital Management

The company being a government entity manages its capital as per the guidelines of Department of investment and public asset management under Ministry of Finance.

Capital Structure of the company is as follows :

(Rs. in Crs.)

Particulars	31.03.2021	31.03.2020
Equity Share capital	940.00	940.00
Long term debt	—	—

3. EMPLOYEE BENEFITS: RECOGNITION AND MEASUREMENT (Ind AS-19)

3.1 Defined Benefit Plans:

(a) Gratuity

The Company provides for gratuity, a post-employment defined benefit plan ("the Gratuity Scheme") covering the eligible employees. The Gratuity Scheme is fully funded through trust maintained with Life Insurance Corporation of India, wherein employer contribution is 2.01% of basic salary and Dearness allowances. Every employee who has rendered continuous service of more than 5 years or more is entitled to receive gratuity amount equal to 15 days salary for each completed years of service computed as (15 days/26 days in a month* last drawn salary and dearness allowance* completed years of service) subject to maximum of Rs. 0.20 crores at the time of separation from the company considering the provisions of the Payment of Gratuity Act 1972 as amended. The liability or asset recognised in the balance sheet in respect of the Gratuity Scheme is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated at each reporting date by actuary using the projected unit credit method. Re-measurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the year in which they occur, directly in other comprehensive income (OCI).

b) Post-Retirement Medical Benefit – Executive (CPRMSE)

Company has post-retirement medical benefit scheme known as Contributory Post Retirement Medicare Scheme for Executive of CIL and its Subsidiaries (CPRMSE), to provide medical care to the executives and their spouses in Company hospital/empaneled hospitals or outpatient/Domiciliary only in India subject to ceiling limit, on account of retirement on attaining the age of superannuation or are separated by the Company on medical ground or retirement under Voluntary Retirement Scheme under common coal cadre



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

or Voluntary Retirement Scheme formulated and made applicable from time to time. Membership is not extended to the executives who resigns from the services of the CIL and its subsidiaries. The maximum amount reimbursable during the entire life for the retired executives and spouse taken together jointly or severally is Rs. 25 lakhs except for specified diseases with no upper limit. The Scheme is funded through trust maintained by the CIL at group level solely for this purpose, wherein employer contribution is 2% of basic salary and Dearness Allowance per month. The liability for the scheme is recognised based on actuarial valuation done at each reporting date.

3.2 Defined Contribution Plans

i) Provident Fund and Pension

Company pays fixed contribution towards Provident Fund and Pension Fund at pre-determined rates based on a fixed percentage of the eligible employee's salary i.e. 12% and 7% of Basic salary and Dearness Allowance towards Provident Fund and Pension Fund respectively to a separate trust named Coal Mines Provident Fund (CMPF). The contribution towards the fund during the period ended 31.03.2021 is Rs. 598.39 Crore (Rs. 436.31 Crore) has been recognized in the Statement of Profit & Loss (Note 28).

ii) Post-Retirement Medical Benefit – Non- Executive (CPRMSE-NE)

As a part of social security scheme under wage agreement, Company is providing Contributory Post-Retirement Medicare Scheme for non-executives (CPRMSE-NE), wherein fixed amount is being contributed by the company and charged to statement of profit and loss.

iii) CIL Executive Defined Contribution Pension Scheme (NPS)

The company provides a post-employment contributory pension scheme to the executives of the Company known as "CIL Executive Defined Contribution Pension Scheme -2007" (NPS). NPS is being administered through separate trust at group level solely formed for the purpose. The obligation of the Company is to contribute to the trust to the extent of amount not exceeding 30% of basic pay and dearness allowance less employer's contribution towards provident fund, gratuity, post-retirement medical benefits -Executive i.e. CPRMSE or any other retirement benefits. The current employer contribution of 6.99% of basic and Dearness Allowance is being charged to statement of profit and loss.

3.3 Other Long Term Employee Benefits

i) Leave encashment

The company provides benefit of total Earned Leave (EL) of 30 days and Half Paid Leave (HPL) of 20 days to the employees of the company, accrued and credited proportionately on half yearly basis on the first day of January and July of every year. During the service, 75% EL credited balance is one time encashable in each calendar year subject to ceiling of maximum 60 days EL encashment. Accumulated HPL is not permitted for encashment during the period of service. On superannuation, EL and HPL together is considered for encashment subject to the overall limit of 300 days without commutation of HPL. Therefore, the liabilities for earned leave are expected to be settled during the service as well as after the retirement of employee. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. The Scheme is fully funded through trust maintained with Life Insurance Corporation of India.

ii) Life Cover Scheme (LCS)

As a part of social security scheme under wage agreement, the Company has Life Cover Scheme under Deposit Linked Insurance Scheme, 1976 notified by the Ministry of Labour, Government of India, known as "Life Cover Scheme of Coal India Limited" (LCS). An amount of Rs. 1,25,000 is paid under the scheme w.e.f 01.10.2017. The liability under the scheme is borne by the Company as per actuarial valuation at each Balance Sheet date.



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

iii) Settlement Allowances

As a part of wage agreement, a lump sum amount of Rs. 12000/- is paid to all the non-executive cadre employees governed under NCWA on their superannuation on or after 31.10.2010 as settling-in allowance. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

iv) Group Personal Accident Insurance (GPAIS)

Company has taken group insurance scheme from United India Insurance Company Limited to cover the executives of the company against personal accident known as “Coal India Executives Group Personal Accident Insurance Scheme” (GPAIS). GPAIS covers all types of accident on 24 hour basis worldwide. Premium for the scheme is borne by the Company. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

v) Leave Travel Concession (LTC)

As a part of wage agreement, Non-executive employees are entitled to travel assistance for visiting their home town and for “Bharat Bhraman” once in a block of 4 years. A lump sum amount of Rs. 8000/- and Rs. 12000/- is paid for visiting Home town and “Bharat Bhraman”, respectively. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

vi) Compensation to Dependent on Mine Accident Benefits

As a part of social security scheme under wage agreement, the company provides the benefits admissible under The Employee’s Compensation Act, 1923. An amount of Rs. 15 lakhs is paid to the next of kin of an employee in case of a fatal mine accident w.e.f 07.11.2019. The liability for the scheme is recognised based on actuarial valuation at each Balance Sheet date.

Funding status of defined benefit plans, defined contribution plans and other long term employee benefits plans, which are valued on actuarial basis, are as under:

(i) Funded

- Gratuity
- Leave Encashment
- Medical Benefits
- Provident Fund
- Pension Schemes

(ii) Unfunded

- Life Cover Scheme
- Settlement Allowance
- Group Personal Accident Insurance
- Leave Travel Concession
- Compensation to dependent on Mine Accident Benefits

Total liability as on 31.03.2021 based on valuation made by the Actuary is Rs. 3754.52 Crore, details of which are mentioned below:

(Rs. in Crs.)

Particulars	Opening Actuarial Liability as on 01.04.2020	Incremental Liability / Adjustment during the Year	Closing Actuarial Liability as on 31.03.2021
Gratuity	2,686.86	70.36	2,757.22
Earned Leave	454.59	59.73	514.32
Half Pay Leave	60.77	11.62	72.39

NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Particulars	Opening Actuarial Liability as on 01.04.2020	Incremental Liability / Adjustment during the Year	Closing Actuarial Liability as on 31.03.2021
Life Cover Scheme	11.06	(0.60)	10.46
Settlement Allowance Executives	7.15	0.68	7.83
Settlement Allowance- Non-exe.	17.36	(0.83)	16.53
Group Personal Accident Insurance Scheme	0.15	(0.01)	0.14
Leave Travel Concession	44.71	(0.55)	44.16
Medical Benefits Executives	262.79	22.26	285.05
Medical Benefits Non-Executives	9.14	4.46	13.60
Compensation to dependents in case of mine accidental death	27.55	5.27	32.82
Total	3,582.13	172.39	3,754.52

3.4 Disclosure as per Actuary's Certificate

The disclosures as per actuary's certificate for employee benefits for Gratuity (funded) and Leave Encashment (funded) are given below :

ACTUARIAL VALUATION OF GRATUITY LIABILITY AS AT 31.03.2021 CERTIFICATES AS PER IND AS 19 (2015)

1.

(Rs. in Crs.)

Changes in Present Value of defined benefit obligations	As at 31.03.2021	As at 31.03.2020
Present Value of obligation at beginning of the period	2,686.86	2,459.04
Current Service Cost	135.05	125.56
Interest Cost	173.44	149.35
Plan amendments : vested portion at end of period (past service)	—	—
Actuarial (Gain) / Loss on obligations due to change in financial assumption	(55.26)	185.12
Actuarial (Gain) / Loss on obligations due to unexpected experience	127.00	160.16
Benefits Paid	309.87	392.37
Acquisition Adjustment	—	—
Disposal/ Transfer of obligation	—	—
Curtailment cost	—	—
Settlement cost	—	—
Other(Unsettled liability at the end of the valuation date)	—	—
Present Value of obligation at end of the period	2,757.22	2,686.86



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

2.

(Rs. in Crs.)

Changes in Fair Value of Plan Assets	As at 31.03.2021	As at 31.03.2020
Fair Value of Plan Asset at beginning of the period	1,739.91	1,859.75
Interest Income	119.18	122.74
Employer Contributions	51.04	130.90
Participant Contributions	—	—
Acquisition / Business combination	—	—
Settlement Cost	—	—
Benefits Paid	309.87	392.37
The effect of Asset Celling	—	—
The Effect of change in Foreign Exchange Rate	—	—
Administrative Expenses and Insurance Premium	—	—
Return on Plan Assets excluding Interest income	(14.15)	18.89
Fair Value of Plan Asset as at end of the period	1,586.11	1,739.91

3.

(Rs. in Crs.)

Statement showing Reconciliation to Balance Sheet	As at 31.03.2021	As at 31.03.2020
Funded Status	(1,171.11)	(946.95)
Unrecognized Past Service Cost	—	—
Unrecognized actuarial (gain) / loss at end of the period	—	—
Post measurement Date Employer contribution (Expected)	—	—
Unfunded Accrued / Prepaid Pension Cost	—	—
Fund Asset	1,586.11	1,739.91
Fund Liability	2,757.22	2,686.86

4.

(Rs. in Crs.)

Statement showing Plan Assumptions	As at 31.03.2021	As at 31.03.2020
Discount Rate	6.85%	6.60%
Expected Return on Plan Asset	6.85%	6.60%
Rate of Compensation Increase (Salary Inflation)	Executives-9.00% Non-Executives- 6.25%	Executives-9.00% Non-Executives- 6.25%
Pension Increase Rate	N/A	N/A
Average Expected Future Service (Remaining working Life)	13,13	13,14
Mortality Table	IALM 2006-2008 ULTIMATE	
Superannuation at Age-Male	60	60
Superannuation at Age- Female	60	60
Early Retirement and Disablement	0.30% p.a.	0.30% p.a.



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

5.

(Rs. in Crs.)

Expense Recognized in Statement of Profit / Loss	For the Year ended 31.03.2021	For the Year ended 31.03.2020
Current Service Cost	135.05	125.57
Past service cost (vested)	—	—
Past service cost (Non-Vested)	—	—
Net Interest Cost	54.25	26.60
Cost (Loss/ gain)on settlement	—	—
Cost (Loss/ gain)on curtailment	—	—
Actuarial Gain/ loss Applicable only for last year	—	—
Employees Expected contribution	—	—
Net Effect of change in Foreign Exchange Rates	—	—
Benefit Cost (Expense recognized in Statement of Profit/Loss)	189.30	152.17

6.

(Rs. in Crs.)

Other Comprehensive Income	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Actuarial (Gain) / Loss on obligations due to change in financial assumption	(55.25)	185.12
Actuarial (Gain) / Loss on obligations due to change in Demographic assumption	—	—
Actuarial (Gain) / Loss on obligations due to unexpected experience	127.00	160.16
Actuarial (Gain)/ Loss on obligations due to other reasons	—	—
Total Actuarial (Gain) / Loss	71.75	345.28
Return on Plan Asset, excluding Interest Income	(14.15)	18.90
The effect of Asset celling	—	—
Balance at the end of the period	85.90	326.38
Net (Income) / Expense for the period recognized in Other Comprehensive Income	85.90	326.38

7.

(Rs. in Crs.)

Allocation of Plan Asset at end of Measurement Period	As at 31.03.2021	As at 31.03.2020
Cash & Cash Equivalents	—	—
Investment Funds	—	—
Derivatives	—	—
Asset-Backed Securities	—	—
Structured Debt	—	—



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Allocation of Plan Asset at end of Measurement Period	As at 31.03.2021	As at 31.03.2020
Real Estates	—	—
Special Deposit Scheme	—	—
State Government Securities	—	—
Government of India Assets	—	—
Corporate Bonds	—	—
Debt Securities	—	—
Annuity Contracts/Insurance Fund	—	—
Other	—	—
Total	—	—

8.

(Rs. in Crs.)

Total Allocation in % of Plan Asset at end of Measurement Period	As at 31.03.2021	As at 31.03.2020
Cash & Cash Equivalents	—	—
Investment Funds	—	—
Derivatives	—	—
Asset-Backed Securities	—	—
Structured Debt	—	—
Real Estates	—	—
Special Deposit Scheme	—	—
State Government Securities	—	—
Government of India Assets	—	—
Corporate Bonds	—	—
Debt Securities	—	—
Annuity Contracts/Insurance Fund	—	—
Other	—	—
Total	—	—

9.

(Rs. in Crs.)

Mortality Table	
Age	Mortality (Per Annum)
25	0.000931
30	0.000977
35	0.001202
40	0.001680
45	0.002579

NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Mortality Table	
50	0.004436
55	0.007513
60	0.011162
65	0.015932
70	0.024058

10.

(Rs. in Crs.)

Sensitivity Analysis of Gratuity Liability	31.03.2021		31.03.2020	
	Increase	Decrease	Increase	Decrease
Discount Rate (-/+ 0.5%)	2,652.17	2,869.61	2,586.62	2,793.88
%Change Compared to base due to sensitivity	-3.810%	4.076%	-3.731%	3.983%
Salary Growth (-/+ 0.5%)	2,801.67	2,709.16	2,734.04	2,634.98
%Change Compared to base due to sensitivity	1.612%	-1.743%	1.756%	-1.931%
Attrition Rate (-/+ 0.5%)	2,757.44	2,757.00	2,689.36	2,684.36
%Change Compared to base due to sensitivity	0.008%	-0.008%	0.093%	-0.093%
Mortality Rate (-/+ 10%)	2,758.79	2,755.62	2,703.74	2,669.99
%Change Compared to base due to sensitivity	0.057%	-0.058%	0.628%	-0.628%

11.

Statement Showing Cash Flow Information	(Rs. in Crore)
Next Year Total (Expected)	2,772.66
Minimum Funding Requirements	1,348.57
Company's Discretion	—

12.

Benefit Information Estimated Future payments (past Service) as on 31.03.2021	
Year	(Rs. in Crore)
1	261.85
2	237.61
3	237.67
4	244.46
5	272.88
6 to 10	1,597.94
More than 10 years	2,538.55
Total Undiscounted Payments Past and Future Service	—
Total Undiscounted Payments related to Past Service	5,390.96
Less Discount for Interest	2,633.74
Projected Benefit Obligation	2,757.22



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

13.

Statement showing Outlook Next Year Components of net periodic benefit cost	(Rs. in Crore)
Current service Cost(Employer portion Only) Next period	137.09
Interest Cost next period	179.90
Expected Return on Plan Asset	188.87
Unrecognized past service Cost	—
Unrecognized actuarial/gain loss at the end of the period	—
Settlement Cost	—
Curtailment Cost	—
Other(Actuarial Gain/loss)	—
Benefit Cost	128.12

14.

Statement Showing expected return on Plan Asset at end Measurement	As at 31.03.2021	As at 31.03.2020
Current liability	253.32	276.61
Non-Current Liability	2,503.90	2,410.25
Net Liability	2,757.22	2,686.86

ACTUARIAL VALUATION OF LEAVE ENCASHMENT BENEFIT (EL/HPL) AS AT 31.03.2021 CERTIFICATES AS PER IND AS 19 (2015)

1.

(Rs. in Crs.)

Changes in Present Value of defined benefit obligations	As at 31.03.2021	As at 31.03.2020
Present Value of obligation at beginning of the year	515.36	479.60
Current Service Cost	78.30	69.38
Interest Cost	29.95	22.70
Participant Contribution	—	—
Plan Amendments: Vested portion at end of period(Past Service)	—	—
Plan Amendments: Non-Vested portion at end of period(Past Service)	—	—
Actuarial (Gain) / Loss on obligations due to change in financial assumption	(14.79)	43.28
Actuarial gain/loss on obligations due to Change in Demographic assumption	—	—
Actuarial (Gain) / Loss on obligations due to unexpected experience	134.17	171.68
Actuarial gain/loss on obligations due to Other reason	—	—
The effect of change in Foreign exchange rates	—	—
Benefits Paid	156.28	271.28
Acquisition Adjustment	—	—



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Changes in Present Value of defined benefit obligations	As at 31.03.2021	As at 31.03.2020
Disposal/Transfer of Obligation	—	—
Curtailment cost	—	—
Settlement Cost	—	—
Other(Unsettled Liability at the end of the valuation date)	—	—
Present Value of obligation at end of the period	586.71	515.36

2.

(Rs. in Crs.)

Changes in Fair Value of Plan Assets	As at 31.03.2021	As at 31.03.2020
Fair Value of Plan Asset at beginning of the year	206.14	265.92
Interest Income	14.12	17.55
Employer Contributions	68.50	200.00
Participant Contributions	—	—
Acquisition/Business Combination	—	—
Settlement Cost	—	—
Benefits Paid	156.28	(271.28)
The effect of asset ceiling	—	—
The effect of change in Foreign Exchange Rates	—	—
Administrative Expenses and Insurance Premium	—	—
Return on Plan Assets excluding Interest income	(4.42)	(6.05)
Fair Value of Plan Asset as at end of the period	128.06	206.14

3.

(Rs. in Crs.)

Statement showing reconciliation to Balance Sheet	As at 31.03.2021	As at 31.03.2020
Funded Status	(458.65)	(309.22)
Unrecognized Past Service Cost	—	—
Unrecognized Actuarial gain/loss at end of the period	—	—
Post Measurement Date Employer Contribution(Expected)	—	—
Unfunded Accrued/Prepaid Pension cost	—	—
Fund Asset	128.06	206.14
Fund Liability	586.71	515.36



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

4.

(Rs. in Crs.)

Statement showing Plan Assumptions	As at 31.03.2021	As at 31.03.2020
Discount Rate	6.85%	6.60%
Expected Return on Plan Asset	6.85%	6.60%
Rate of Compensation Increase (Salary Inflation)	Executives-9.00% Non-Executives-6.25%	Executives-9.00% Non-Executives-6.25%
Pension Increase Rate	N/A	N/A
Average Expected Future service (Remaining Working Life)	13,13	13,14
Average Duration of Liabilities	13,13	13,14
Mortality Table	IALM 2012-2014 ULTIMATE	IALM 2006-2008 ULTIMATE
Superannuation at Age- Male	60	60
Superannuation at Age - Female	60	60
Early Retirement and Disablement	0.30% p.a.	0.30% p.a.
Voluntary Retirement	Ignored	Ignored

5.

(Rs. in Crs.)

Expense Recognized in Statement of Profit / Loss	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Current Service Cost	78.30	69.38
Past Service Cost(vested)	—	—
Past Service Cost(Non-Vested)	—	—
Net Interest Cost	15.83	5.15
Cost(Loss)/(Gain) on settlement	—	—
Cost(Loss)/(Gain) on curtailment	—	—
Net Actuarial Gain / Loss	123.80	221.01
Employee Expected Contribution	—	—
Net Effect of changes in Foreign Exchange Rates	—	—
Benefit Cost (Expense recognised in Statement of Profit/Loss)	217.93	295.54

6.

(Rs. in Crs.)

Other Comprehensive Income	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Actuarial gain/loss on obligations due to Change in Financial Assumption	—	—
Actuarial gain/loss on obligations due to Change in Demographic assumption	—	—



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Other Comprehensive Income	For the Year Ended 31.03.2021	For the Year Ended 31.03.2020
Actuarial gain/loss on obligations due to Unexpected Experience	—	—
Actuarial gain/loss on obligations due to Other reason	—	—
Total Actuarial (gain)/losses	—	—
Return on Plan Asset, Excluding Interest Income	—	—
The effect of asset ceiling	—	—
Balance at the end of the Period	—	—
Net(Income)/Expense for the Period Recognized in OCI	—	—

7.

(Rs. in Crs.)

Mortality Table	
Age	Mortality (Per Annum)
25	0.000931
30	0.000977
35	0.001202
40	0.00168
45	0.002579
50	0.004436
55	0.007513
60	0.011162
65	0.015932
70	0.024058

8.

(Rs. in Crs.)

Sensitivity Analysis of Leave Encashment Liability	31.03.2021		31.03.2020	
	Increase	Decrease	Increase	Decrease
Discount Rate (-/+ 0.5%)	558.46	617.53	491.74	541.03
%Change Compared to base due to sensitivity	-4.815%	5.253%	-4.582%	4.982%
Salary Growth (-/+ 0.5%)	617.14	558.54	540.63	491.89
%Change Compared to base due to sensitivity	5.187%	-4.801%	4.903%	-4.554%
Attrition Rate (-/+ 0.5%)	586.66	586.76	516.87	513.85
%Change Compared to base due to sensitivity	-0.008%	0.008%	0.293%	-0.293%
Mortality Rate (-/+ 10%)	586.55	586.87	518.49	512.23
%Change Compared to base due to sensitivity	-0.027%	0.027%	0.608%	-0.608%



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

9.

(Rs. in Crs.)

Benefit Information Estimated Future payments(Past Service)	(Rs. in Crore)
Year	
1	44.81
2	41.77
3	42.02
4	49.45
5	51.81
6 to 10	274.37
More than 10 years	916.29
Total Undiscounted Payments Past and Future Service	0.00
Total Undiscounted Payments related to Past Service	1,420.53
Less Discount for Interest	833.82
Projected Benefit Obligation	586.71

10.

(Rs. in Crs.)

Bifurcation of Net Liability	As at 31.03.2021	As at 31.03.2020
Current liability	43.35	39.38
Non-Current Liability	543.36	475.98
Net Liability	586.71	515.36

4. Unrecognized items

(a) Contingent Liabilities

I. Claims against the company not acknowledged as debt

(Rs. in Crs.)

Sl. No.	Particulars	Central Government Dept./ Agencies	State Government Dept./ Agencies and other local authorities	Central Public Sector Enterprises	Others	Total
1	Opening as on 01.04.2020	869.91	17,274.57	—	496.73	18,641.21
2	Addition during the year	1,031.17	96.11	—	13.18	1,140.46
3	Claims settled during the year					
	a. From opening balance	—	(79.44)	—	(42.17)	(121.61)
	b. Out of addition during the year	—	—	—	—	—
	c. Total claims settled during the year (a+b)	—	(79.44)	—	(42.17)	(121.61)
4	Closing as on 31.03.2021	1,901.08	17,291.24	—	467.74	19,660.06



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Demand for alleged, Production of coal beyond Environmental Clearance Limit:

Following the judgment of the Hon'ble Supreme Court of India in the case of Common Cause vs. UOI and Others (W.P. (C) No. 114 of 2014), certain District Mining Officers of Jharkhand, issued demand notices in respect of 42 projects, alleging that production in those projects exceeded the available Environmental Clearances limits.

The Company has filed revision petition against the above demands, before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR, Act. The Revisional Authority Ministry of Coal Govt. of India in their interim order dated 16.01.2018 has admitted the revision application and stayed the execution of the demand order of Rs.13,568.50 Crores (P.Y. Rs. 13,586.50 Crore) till further order.

The demand notice was issued in favour of CCL in respect of 42 projects and the issue is being dealt by Environmental Department of CCL, hence, the same is kept under contingent liability of CCL at HQ.

Nature wise details of contingent liability is shown below:

(Rs. in Crs.)

Sl.No.	Particulars	31.03.2021	31.03.2020
1	Central Government :		
	Income tax	809.10	809.04
	Central Excise	134.81	45.56
	Clean Energy Cess	954.78	13.12
	Service Tax	2.39	2.19
	Others	—	—
	Sub - Total	1,901.08	869.91
2	State Government and Local Authorities:		
	Royalty	1,715.72	1,668.28
	Environment Clearance	13,568.50	13,568.50
	Sales Tax / VAT	1,463.21	1,523.40
	Entry Tax	25.00	25.00
	Electricity Duty	97.33	98.80
	MADA	421.48	390.59
	Sub - Total	17,291.24	17,274.57
3	Central Public sector Enterprises		
	Arbitration Proceedings	—	—
	Suit against the company under litigation	—	—
	Others	—	—
	Sub- Total	—	—
	Others :		
4	Miscellaneous	467.74	496.73
	Sub- Total	467.74	496.73
	TOTAL	19,660.06	18,641.21

Due to Covid -19 restrictions imposed by state govt, legal opinion on contingent liability could not be obtained.



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

II. Guarantee

Bank guarantee issued as on 31.03.2021 : Rs. 433.11 Crores (P.Y Rs. 427.70 Crores).

III. Letter of Credit

Outstanding Letters of Credit as on 31.03.2021: Rs. 6.42 Crores (P.Y Rs. 29.20 Crores).

(b) Commitments

Estimated amount of contracts remaining to be executed on capital account and not provided for as on 31.03.2021: Rs. 816.36 Crores (P.Y Rs. 946.02 Crores).

Other Commitment as on 31.03.2021: Rs. 7,890.00 Crores (P.Y Rs. 8,773.98 Crores).

5. Group Information

Name	Principal activities	Country of Incorporation	% Equity Interest	
			31st March, 2021	31st March, 2020
Coal India Limited (Holding Company)	Mining & Production of Coal	India	100 %	100 %
Jharkhand Central Railway Ltd. (Subsidiary Company)	Development of Railway Infrastructure in Jharkhand	India	73.67 %	58.08 %

6. Other Information

(a) Provisions

The position and movement of various provisions as per Ind AS-37 except those relating to employee benefits which are valued actuarially, as on 31.03.2021 are given below:

(Rs. in Crs.)

Provisions	Opening Balance as on 01.04.2020	Addition during the year	Write back/Adj/ Paid during the year	Unwinding of Discount	Closing Balance as on 31.03.2021
Note 3:- Property, Plant and Equipments :					
Impairment of Assets :	57.24	6.25	—	—	63.49
Note 4:- Capital Work in Progress :					
Against CWIP :	13.86	3.48	(1.80)	—	15.54
Note 5:- Exploration And Evaluation Assets :					
Provision and Impairment :	0.67	0.44	—	—	1.11
Note 8:- Loans :					
Other Loans :	—	—	—	—	—
Note 9:- Other Financial Assets:					
Other Deposits and Receivables	—	—	—	—	—
Security Deposit for utilities Current	—	—	—	—	—
Account with Subsidiaries	—	—	—	—	—
Claims & other receivables	9.30	6.96	(0.46)	—	15.80
Note 10 :-Other Non-Current Assets					
Capital Advance	0.09	0.07	—	—	0.16



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Provisions	Opening Balance as on 01.04.2020	Addition during the year	Write back/Adj/ Paid during the year	Unwinding of Discount	Closing Balance as on 31.03.2021
Note 11:- Other Current Assets					
Advances for Revenue	0.54	—	(0.01)	—	0.53
Advance payment of statutory dues	0.89	—	—	—	0.89
Other Advances and Deposits	20.27	1.01	(2.16)	—	19.12
Note13:-Trade Receivables :					
Provision for bad & doubtful debts:	283.38	4.88	—	—	288.26
Note 21 :- Non-Current & Current Provision :					
Ex- Gratia	236.72	244.13	(236.72)	—	244.13
Performance Related Pay	196.52	62.86	(127.48)	—	131.90
Provision for National Coal Wage Agreement X	—	—	—	—	—
Provision for Executive Pay Revision	—	—	—	—	—
Others	—	—	—	—	—
Site Restoration/Mine Closure	1085.00	—	(239.74)	78.91	924.17

(b) Segment Reporting

The company is primarily engaged in a single segment business of production and sale of Coal. The income from interest and other income is less than 10% of the total revenue; hence no separate segment is recognized for the same.

(c) Earnings per share

Sl. No.	Particulars	For the year ended 31.03.2021	For the year ended 31.03.2020
(i)	Net profit after tax attributable to Equity Share Holders	1,221.28	1,847.75
(ii)	Weighted Average no. of Equity Shares Outstanding	94 Lakhs	94 Lakhs
(iii)	Basic and Diluted Earnings per Share in Rupees (Face value Rs. 1000/- per share)	1,299.23	1,965.69

(d) Related Party Disclosures

Post-Employment Benefit Fund:

- i. Group Gratuity Cash Accumulation Plan with LIC.
- ii. New Group Gratuity Cash Accumulation Plan with LIC (for employees joining after 01.04.2014).
- iii. New Group Leave Encashment Scheme with LIC.
- iv. Coal Mines Provident Fund (CMPF).
- v. Contributory Post-Retirement Medical Scheme for Executive Trust
- vi. CIL Executive Defined Contribution Pension Scheme-2007

A. List of Related Parties

- (i) **Holding Company**
Coal India Limited



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

(ii) Sister Companies

1. Eastern Coalfields Limited (ECL)
2. Bharat Coking Coal Limited (BCCL)
3. Western Coalfields Limited (WCL)
4. South Eastern Coalfields Limited (SECL)
5. Northern Coalfields Limited (NCL)
6. Mahanadi Coalfields Limited (MCL)
7. Central Mine Planning and Design Institute Limited (CMPDIL)

(iii) Subsidiary Company

Jharkhand Central Railway Limited (JCRL)

Transactions with Related Parties

(Rs. in Crs.)

Name of Related Parties	Loan to Related Parties	Loan from Related Parties	Apex-Charges	Rehabilitation Charges	Lease Rent Income	Interest on Funds parked	IICM charges	Other/Investment	Current Account Balances (payable/receivable)	Outstanding balances (payable/receivables)
Coal India Limited (CIL)	—	—	73.86	39.20	—	—	—	—	(139.80)	—
Central Mine Planning and Design Institute Limited (CMPDIL)	—	—	—	—	—	—	—	134.49	—	58.67*
IICM Charges	—	—	—	—	—	—	2.47	—	—	0.82
Jharkhand Central Railway Limited (JCRL)	—	—	—	—	—	—	—	32.63	—	—

*Outstanding Balance payable to CMPDIL amounting to Rs. 58.67 Cr is excluding GST as original bill has not yet been received. Amount including GST will come to Rs. 69.12 Cr.

(iv) Key Managerial Personnel

Name	Designation	W.e.f
Shri Polavarapu Mallikharjuna Prasad	Chairman-cum-Managing Director	01.09.2020
Shri Virendra Kumar Srivastava	Director (Technical/Operations)	15.05.2018
Shri Bhola Singh	Director (Technical/P&P)	15.01.2019
Shri Niranjana Kumar Agarwala	Director (Finance)	18.07.2019
Shri Vinay Ranjan	Director (Personnel)	24.01.2020
Shri Mukesh Choudhary Director, Ministry of Coal	Government Director	05.06.2020
Shri Binay Dayal	Government Director	11.02.2021
Shri Subhau Kashyap	Independent Director	13.12.2018
Mrs. Jajula Gowri	Independent Director	10.07.2019
Shri Harbans Singh	Independent Director	10.07.2019
Shri Shiv Arora	Independent Director	10.07.2019
Shri Ravi Prakash	Company Secretary	13.07.2017



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Remuneration of Key Managerial Personnel

Sl. No.	Payment to CMD, Whole Time Directors and Company Secretary	For the year ended 31.03.2021	For the year ended 31.03.2020
i)	Short Term Employee Benefits		
	Gross Salary	3.36	2.46
	Medical Benefits	0.01	0.05
	Perquisites and other benefits	—	—
ii)	Post-Employment Benefits		
	Contribution to P.F. & other fund	0.16	0.16
	Actuarial valuation of Gratuity	0.49	0.58
	Actuarial valuation Leave Encashment	0.81	0.70
	Contribution to NPS	0.09	0.54
iii)	Termination / Retirement Benefits	—	0.37
	TOTAL	4.92	4.86

Note:

Besides above, whole time Directors have been allowed to use company cars for private journey upto a ceiling of 1000 KMs on payment of 2000 per month as per service conditions.

Payment to Independent Directors

(Rs. in Crs.)

Sl. No.	Payment to Independent Directors	For the year ended 31.03.2021	For the year ended 31.03.2020
i)	Sitting Fees	0.29	0.20

Balances Outstanding with Key Managerial Personnel

(Rs. in Crs.)

Sl. No.	Particulars	As on 31.03.2021	As on 31.03.2020
i)	Amount Payable	—	—
ii)	Amount Receivable	—	—

(e) Entities under the control of the same government

The Company is a 100% subsidiary of Coal India Limited, a Central Public Sector Undertaking (CPSU) controlled by Central Government by holding majority of shares (Note 16). Thus the Govt. of India has significant influence over the company. Pursuant to Paragraph 25 and 26 of Ind AS 24, entities over which the same government has control or joint control of, or significant influence, then the reporting entity and other entities shall be regarded as related parties. Transactions with these parties are carried out at market terms at arm length basis. The Company has applied the exemption available for government related entities and has made limited disclosures in the financial statements.

Name of the Entity	Transactions	As at 31.03.2021	As at 31.03.2020
NTPC	Sale of Coal (during the period)	4,155.16	2,854.07
	Outstanding Balance	316.35	635.68

(f) Recent Accounting Pronouncements



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Keeping in view the changing scenario of business, due to the pandemic COVID-19, the following amendments have been notified by Ministry of Corporate Affairs vide Notification dated 24th July 2020 essentially most of them tried to cover situations which have arisen due to COVID-19 and better financial reporting:-

i) Ind AS 103- Business Combinations

Notification brought out changes in definition of Business Combination and defined “Business” in more details, an optional test to identify concentration of fair value, element of business and Assessing whether an acquired process is substantive.

As there is no Business Combination, no impact of the above in the financial Statement.

ii) Amendment to Ind AS 107 & 109 – Financial Instruments and Disclosure

Disclosure for uncertainty arising from interest rate benchmark reform and Temporary exceptions from applying specific hedge accounting requirements.

There is no exposure to hedge accounting hence no impact of the above in the Financial Statement.

iii) Amendment to Ind AS 116- Leases

A clarification has been provided on accounting Rent concession granted due to Pandemic COVID-19. It has been clarified that such concession will be treated as a lease modification or not.

As no rent concession was granted, there is no impact of the above in the Financial Statement.

iv) Amendments to Ind AS 1 and Ind AS 8 – Presentation of Financial Statements and Accounting Policies, Change in Accounting Estimates and Errors.

A new definition of material has been introduced by this amendment, this is more refined and provides more clarity. Materiality has been defined as:

“Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decision that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.”

Financial Statement has been prepared incorporating amendments of Ind AS 1 and Ind AS 8 mentioned above with due care to materiality policy of the company.

v) Amendment to Ind AS 10- Events after reporting Period

A paragraph 21 of the Ind AS 10 have been substituted, in the amendments any non-adjusting events that could reasonably be expected to influence decisions that the primary users of general purpose Financial Statement make on the basis of those financial statements which provide financial information about a specific reporting entity have been added. Also, nature and estimates of the financial effect is required to be disclosed.

There is no non-adjusting event has accrued during the period that may influence the decision of the primary users of general purpose of financial statements.

vi) Amendments to Ind AS 34 – Interim Financial Reporting

Consequential of the above amendments have been notified.

There is no impact of the above in the Financial Statement.

vii) Ind AS-37 – Provisions, Contingent Liabilities and Contingent Assets

Consequential of the above amendments have been notified, and paragraph below on accounting of restructuring plans have been substituted as :-

A Management or Board decision to restructure taken before the end of the reporting period does not give rise to a constructive obligation at the end of the reporting period unless the entity has, before the end of the reporting period:



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

- a) started to implement the restructuring plan; or
- b) announced the main features of the restructuring plan to those affected by it in a sufficiently specific manner to raise a valid expectation in them that the entity will carry out the restructuring.

There is no such decision of restructuring taken by the board, hence there is no impact of the above in the Financial Statements.

g) Goods procured by Coal India Ltd. on behalf of Subsidiaries

As per existing practice, goods purchased by Coal India Ltd. on behalf of subsidiary companies are accounted for in the books of respective subsidiaries directly.

h) Insurance and escalation claims

Insurance and escalation claims are accounted for on the basis of admission/final settlement.

i) Provisions made in the Accounts

Provisions made in the accounts against slow moving/non-moving/obsolete stores, claims receivable, advances, doubtful debts etc. are considered adequate to cover possible losses.

j) Current Assets, Loans and Advances etc.

In the opinion of the Management, assets other than fixed assets and non-current investments have a value on realisation in the ordinary course of business at least equal to the amount at which they are stated.

k) Current Liabilities

Estimated liability has been provided where actual liability could not be measured.

l) Balance Confirmations

Balance confirmation/reconciliation is carried out for cash & bank balances, certain loans & advances, long term liabilities and current liabilities. Provision is taken against all doubtful unconfirmed balances.

m) Significant accounting policy

Significant accounting policy (Note-2) has been prepared to elucidate the accounting policies adopted by the Company in accordance with Indian Accounting Standards (Ind ASs) notified by Ministry of Corporate Affairs (MCA) under the Companies (Indian Accounting Standards) Rules, 2015.

n) Leases

- i) M/s. Imperial Fastners Pvt. Limited, in terms of lease agreement, has been granted a right to occupy and use the Land and P&M assets of the Company. The cost of gross carrying amount of the asset is Rs. 80.19 Crores (PY Rs. 80.19 Crore) and progressive depreciation there on is Rs.77.69 Crores (PY Rs. 77.69 Crore) and WDV is Rs. 2.50 Crores (PY Rs. 2.50 Crore) i.e. reserve value. The future minimum lease payment receivable in aggregate for balance period of lease is Rs. 20.64 Crores. The details of future lease payment receivables are as under:

(Rs. in Crs.)

Particulars		As at 31.03.2021	As at 31.03.2020
(I)	Not later than one year	3.84	3.84
(II)	Later than one year and not later than five years	15.36	15.36
(III)	Later than five years and till the period of lease	1.44	5.28
	Total	20.64	24.48



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

- ii) Punjab State Electricity Board, in terms of lease agreement, has been granted a right to use 15.50 acres of land of the company. The cost of gross carrying amount of the asset is Rs. 7.90 Crores (PY Rs. 7.90 Crore) and progressive depreciation there on is Rs. 7.90 Crores (PY Rs. 7.90 Crore) and WDV is Nil (PYRs. Nil). The future minimum lease payment receivable in aggregate for balance period of lease is Rs. 2.98 Crores. The details of future lease payments receivable are as under:

(Rs. in Crs.)

Particulars		As at 31.03.2021	As at 31.03.2020
(I)	Not later than one year	0.19	0.19
(II)	Later than one year and not later than five years	0.77	0.77
(III)	Later than five years and till the period of lease	2.02	2.21
	Total	2.98	3.17

- iii) EIPL, in terms of lease agreement, has been granted a right to occupy and use the Land of the company. The cost of gross carrying amount of the asset is Rs. 4,968 (PY Rs. 4,968) and progressive depreciation there on is Rs. 4,968 (PY Rs. 4,968) and WDV is Nil (PY Rs. Nil). The future minimum lease payment receivable in aggregate for balance period of lease is Rs.1.08 Lakhs. The details of future lease payments receivable are as under:

(Rs. in Lakhs)

Particulars		As at 31.03.2021	As at 31.03.2020
(I)	Not later than one year	0.12	0.12
(II)	Later than one year and not later than five years	0.48	0.48
(III)	Later than five years and till the period of lease	0.48	0.60
	Total	1.08	1.20

o) Segment Reporting

In accordance with the provisions of Ind AS 108 'operating segment', the operating segment used for presenting segment information are identified based on internal report used by Board to allocate resources to the segment and assess their performance. The Board is the group of Chief operating decision maker within the meaning of Ind AS 108.

The Board considers a business from the prospect of significant product offering and accordingly has decided that presently there is one single reportable segment being sale of Coal. Information of financial performance and assets are presented as the consolidated information in the statement of profit and loss and balance sheet.

Revenue by destination is as follows:

(Rs. in Crs.)

Particulars	India	Other countries
Revenue (Net)	11,764.89	Nil

Revenue by customer is as follows:

(Rs. in Crs.)



NOTE – 38 ADDITIONAL NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2021 (STANDALONE)

Customers having more than 10% of Revenue (Net)	Amount	Country
Customer - 1	1,812.28	India
Customer - 2	1,674.54	
Others	8,278.07	
Total Revenue (Net)	11,764.89	

Current Assets by location are as follows:

(Rs. in Crs.)

Particulars	India	Other countries
Current Assets	9,024.00	Nil

p) Disaggregated Revenue information

(Rs. in Crs.)

Particulars	For the year ended 31.03.2021	For the year ended 31.03.2020
Types of Goods or Service		
- Coal	10,774.32	11,642.64
- Others	—	—
Total Revenue from Contract with Customers	10,774.32	11,642.64
Types of Customers		
- Power Sector	7,949.34	8,210.67
- Non-Power Sector	2,824.98	3,431.97
- Others or Services (CMPDIL)	—	—
Total Revenue from Contract with Customers	10,774.32	11,642.64
Types of Contracts		
- FSA	7,255.95	8,863.81
- E-Auction	3,518.37	2,778.83
- Others	—	—
Total Revenue from Contract with Customers	10,774.32	11,642.64
Timing of Goods or Services		
- Goods transferred at a point of time	10,774.32	11,642.64
- Goods transferred over time	—	—
- Services transferred at a point of time	—	—
- Services transferred over time	—	—
Total Revenue from Contract with Customers	10,774.32	11,642.64



7. GENERAL

- 7.1 Refund/Adjustment of tax from Tax Authorities are accounted for on cash basis. Additional demand for Income Tax, Royalty, Cess, Sales Tax, Vat /Entry Tax etc. are accounted for after receipt of final order except as otherwise not recognized under IND AS-37.
- 7.2 The Government of Jharkhand has demanded Royalty for Rs. 2.79 Crores (PY Rs. 2.79 Crore) in respect of 9 LT non-vendable coal at Rajrappa Area written-off in the year 1989. The company (CCL) preferred an appeal before Commissioner of Mines, Jharkhand but the same was rejected. On rejection, the company filed writ petition WP 1754(c) of 2014 before Hon'ble High Court of Jharkhand and the same is pending till date. Last hearing date was 09.05.2016. Hon'ble High Court has directed Government of Jharkhand to produce documentary evidence in support of their claim which has not been filed till date by the Govt. of Jharkhand.
- 7.3 (a) There is a long pending dispute over capitalization cost of Rajrappa and Giddi Captive Power Plant, commissioned by EIPL on Built Own and Operate (BOO) basis and the dispute is pending in Civil Appeal No. 7403 of 2009, filed by the Company before the Hon'ble Supreme Court against the Order dated 31.07.2009 of the Jharkhand State Electricity Regulatory Commission duly confirmed subsequently by the Appellate Tribunal also.
- (b) Pursuant to Interim Orders of the Hon'ble Supreme Court dated 14.09.12 and 23.11.12 passed in the said Appeal, the Company accounted for a liability of Rs. 94.33 Crores. in 2012-13 upto the period March, 2008. Out of which Rs. 83.03 Crores was paid to EIPL (erstwhile DLF Ltd) as 25% deemed energy charges during the said period. Further, an ad-hoc payment of Rs.75 Crores and Rs.25 Crores were also made on 20.11.13 and 10.01.14 respectively as per directives of the Hon'ble Supreme Court. As directed by the Hon'ble Supreme Court revised amount payable from April'08 to March'14 was calculated based on the methodology adopted by JSERC in determining the revised tariff up to the period March'08. Accordingly an amount of Rs.23.25 Crores was provided during the financial year 2013-14 in addition to Rs. 94.33 Crores, which was already provided in the Financial Statements of 2012-13. For the financial year 2014-15, additional liability of Rs. 3.26 Crores has been provided. For the financial year 2015-16 additional liability of Rs. 0.26 Crores has also been provided. The details of balance receivable amount from EIPL are as under :
- | | |
|--|--------------------------|
| (i) Differential Tariff for the period upto March'08-in respect of which | Rs. 94.33 Crores |
| liability has been provided in the Financial Statements of 2012-13. | |
| (ii) Differential Tariff for the period April'08- to March'14 in | Rs. 23.25 Crore. |
| in respect of which liability has been provided in the year 2013-14. | |
| (iii) Old keep back amount in respect of deemed energy charges | Rs. 31.36 Crores |
| (iv) Differential tariff for the year 2014-15 | Rs. 3.26 Crores |
| (v) Differential tariff for the year 2015-16 (A/C-Rajrappa Area) | Rs. 0.26 Crores |
| | <u>Rs. 152.46 Crores</u> |
| Less: Ad-hoc payment (as per Order of the Hon'ble Supreme Court) | Rs. 183.03 Crores |
| Net Balance amount (shown in Note-9 under the head Other | Rs. 30.57 Crores |
| Receivables) | |
- However, EIPL has submitted their demand for Rs.302.63 Crores on 17.09.2012 including Rs. 134.20 Crores on account of interest on delayed payment which is beyond the purview of PPA and the matter is pending before the Hon'ble Supreme Court.
- (c) As per clause 1.18.3 of the Power Purchase Agreement with M/s. EIPL, from the date of expiry of one year from commissioning of the respective power plant, increase/decrease of fuel components of tariff due to variation in fuel cost shall be determined. The initial price of rejects as per clause 1.14 of PPA was Rs. 90 per tonne.

Accordingly calculation was made as per clause 1.18.3 of PPA and additional revenue receivable on account of revision in price of rejects net off with additional tariff payable on account of revised tariff due to



increase in fuel cost was considered in the Financial Statements for the year 2013-14 and supplementary bill to EIPL was also raised.

Subsequently, during the financial year 2014-15 the price of rejects was again revised based on the recommendations of the CCL standing committee of Sales and Marketing department and the same was communicated to Director(Operations) of DLF Ltd. vide letter Ref. No. GM(E&M)/DLF/14/ 3530-36 dated. 17.11.2014. As per letter, G grade slack coal price which was the lowest grade under UHV system of pricing applicable prior to 01.01.2012 became chargeable for the period from July, 2000 to December, 2011 from EIPL. Consequent upon the issue of above letter, Sales bill and power tariff both were revised.

As on 31.03.2016, the amount receivable from EIPL on account of supply of rejects after adjusting enhanced tariff was Rs.38.69 Crores. Further, a provision of Rs. 1.64 Cr. was made in the year 2016-17 making total provision to Rs. 40.33 Cr. Due to non-payment of the same, the following action has been taken by CCL:

As per clause 2.6 of the Power Purchase Agreement dated. 8th February, 1993, in the event of any dispute arising out of or in relation to the agreement, the same shall be referred to the sole arbitration of an arbitrator mutually acceptable to CIL & EIPL as per provisions of Arbitration Act. However, as the parties to the agreement failed to mutually agree to the appointment of an arbitrator, the petitioner (CCL) was left with no alternative but to move to the Hon'ble High Court for appointment of an arbitrator in exercising powers under section 11(6) of the Arbitration and Conciliation Act, 1996. As such the Arbitration Application was filed on 7th April, 2016. The Hon'ble High Court of Jharkhand during 2017-18, has appointed Ld. Arbitrator as per Agreement to settle the dispute. Hearing is still pending before Ld. Arbitrator.

- 7.4 Theft of goods during the year is Rs.0.71 Crores (Previous year Rs.0.26 Crores), which has been duly accounted for.
- 7.5 Compensation Receivable in terms of "Fuel Supply Agreement" (FSA) is accounted for on receipt basis.
- 7.6 Lease agreement with M/s. IFPL was entered in the year 2005 for a period of 20 years, and is valid up to 2025. As per Agreement, the company will supply washery rejects and IFPL will generate power and supply to Kathara Area. As per the provisions of Lease agreement, IFPL is required to pay Rs. 32 Lakhs per month as Lease rent. IFPL has suspended its operation from July 2018 and also not making payment of Lease rent. As a result, a provision to the tune of Rs.1.60 Crores has been made during the year 2018-19 as the differential amount of lease rental receivables amounting to Rs.4.02 Crores and Power expenses payable to IFPL for Rs. 2.42 Crores. Further provision of Rs.6.72 Crores has also been made towards Lease rental receivable.
- 7.7 In terms of Memorandum of Understanding signed on 07.05.2015 between Central Coalfields Limited (CCL), IRCON International Limited (IRCON) and the Govt. of Jharkhand (GoJ) for development, financing and implementation of Railway Infrastructure works in the State of Jharkhand, a Subsidiary Company named as "Jharkhand Central Railway Limited"(JCRL) was incorporated on 31.08.2015 under the Companies Act, 2013 with an authorized capital of Rs. 5.00 Crores, which has subsequently been increased to Rs. 500.00 Crores. The committed equity share holding pattern, as per MOA, of CCL, IRCON International Limited and Govt. of Jharkhand is 64%, 26% and 10% respectively. As on Balance sheet date, JCRL has allotted shares to the value of Rs.64.63 Crores to the company, Rs. 13.00 Crores to IRCON International Limited and Rs.10.10 Crores to Government of Jharkhand and thus the paid-up capital of JCRL as on 31.03.2021 is Rs.87.73 Crores.

CCL has prepared Consolidated Financial Statements in addition to its Standalone Financial Statements for compliance of the Section 129(3) of the Companies Act, 2013.

JCRL has earned a Profit before tax of Rs. 2.16 Crores [P.Y. Rs.1.77 Crores] for the year ended 31st March 2021.

- 7.8. JCRL Board in its 24th Board Meeting held on 24.10.2019 decided to increase its paid-up capital and to adjust advance of Rs.136.59 Cr paid by CCL against amount of Rs. 282.88 Cr payable towards equity contribution. CCL Board in its 485th meeting held on 04.05.2020 has also accepted the same.

However, CCL Board in its 491st meeting held on 24.09.2020 directed the concerned department to analyse long term financial impact of mode of investment in JCRL i.e. in the form of Equity contribution or Interest free Advance.



- 7.9 CCL has entered into a Lease Agreement with East Central Railway for use of Railway Land for construction of Konar Siding under Bokaro & Kargali Area vide Agreement No. W466/Land lease/Konar Siding Dt. 05/06/2017. The Lease Agreement is for a period of 35 years from 01.04.2016. CCL has deposited one time Lease rental for entire period amounting to Rs. 27.19 Crores to E.C. Railway. The amount paid as Lease rentals is shown under the head 'Right to Use (Lease)' in Note 3, Property, Plant & Equipment as per the requirement of Ind As 116.
- 7.10 For the purpose of valuation of inventories, power cost has been distributed on the basis of internal departmental certificate to the units of the area in absence of actual consumption details.
- 7.11 Inventory of Stores & Spares are being physically verified by Store Auditors at due intervals. However, due to Covid 19 pandemic, the verification could not be done during the year.
- 7.12 A) Consequent upon the agreement made with Coal India Limited and President of India for allocation of coal block Kotre Basantpur and Panchmo Coal Blocks under Coal Mines (Special Provisions) Act, 2015, and subsequent allocation to CCL for operation and commercial use of mines, the company (CCL) has deposited 50% of Upfront fees amounting to Rs.20.65 Crores and fixed amount for Rs.9.91 Crores as security deposit and has furnished a Performance Bank Guarantee (Performance Security) amounting to Rs. 286.14 Crores, in designated bank account of Nominated Authority for allotment. Rs. 40.88 Crores (upfront fees Rs. 30.97 Crores and Security deposit Rs. 9.91 Crores) is appearing under Exploration Evaluation Assets in Note-5. As the conditions of prescribed guidelines for making payment of 3rd instalment have not yet been fulfilled, the balance amount of Rs. 10.33 Crores is shown under Capital Commitment.
- B) BG has been issued in favour of Member Secretary, Jharkhand State Pollution Control Board for an amount of Rs. 145.77 Crs. in respect of selected Dhori GoM, Dhori Area & Karo OCP, B&K Area to comply with the notification Dated 14.03.2017 of Ministry of Environment & Forest.
- C) BG has been issued in favour of Assistant Electrical Engineer, Electrical Supply Sub Station Chatra JBVNL for an amount of Rs. 0.81 Crs. in respect of Amrapali OCP (Binglat) & Magadh OCP (Kundi Patch) against load sanction order no 1957/ESE(S) Hazaribagh dt 22.11.2019 & 1955/ESE(S) Hazaribagh dt 22.11.2019 issued by Electrical Supdt. Engg. Electrical Supply Circle, Hazaribagh.
- 7.13 The Hon'ble Supreme Court of India, in Transferred Case (CIVIL) No. 43 of 2016 vide order dated 13.10.2017 has held that DMF will be applicable in the State of Jharkhand on and from the date of establishment of DMF Trust i.e. 07.12.2015. Accordingly, the amount of Rs. 286.31 Crores deposited with the State Govt. relating to the period prior to 07.12.2015 shall be refunded/ adjusted from the DMF payable by the company. Out of the said amount a sum of Rs.236.51 Crores has already been adjusted and balance amount of Rs.49.80 Crores is yet to be got refunded/ adjusted from the State Government. As per directive of State Govt., Areas have submitted their claim to the respective DMO for getting Refund / adjustment.
- 7.14 Against the demand of Income Tax Department regarding TCS from Road Sales Customers under section 206 C of the Income Tax Act, 1961, amounting to Rs. 106.56 Crores, the department has collected Rs. 71.79 Crores by attaching the bank account of the company and the balance amount of Rs.34.77 Crores has been deposited by the company. The company in turn has recovered Rs.77.53 Crores from the customers as on balance sheet date and the balance Rs. 29.03 Crores is under process of recovery..
- Out of Rs. 29.03 Crores Rs. 26.85 Crores relates to the demand raised for the overlapping period i.e. In FY 2012-13 the alleged TCS liability of the period April,2012 to August, 2013 i.e. for 17 months, Whereas, it should have been taken From July, 2012 to up to March, 2013 i.e. for 9 months only. In FY 2013-14 the alleged TCS liability of the period April, 2013 to August, 2014 i.e. for 17 months was taken, Whereas, it should have been taken up to March, 2014 for 12 months only. Similarly, for FY 2017-18 the order of alleged TCS liability of the period April, 2017 to July, 2017 i.e. for 4 months was passed. But figures were taken up to August, 2017. As TCS was implemented on coal w.e.f. 01.07.2012, a rectification petition U/S 154 of Income Tax Act, 1961 has already been filed to rectify the error but till date hearing has not yet started in spite of giving several reminders to the department. A writ petition, W.P. (T) No. 4380 of 2020 was filed before Jharkhand High Court for instructing CIT (Appeals) to pass the final order expeditiously. Jharkhand High Court while deciding this Writ Petition had directed CIT (Appeals) to decide the issue within a period of two months starting 10.03.2021. The CIT (Appeals) has passed the final order on the



impugned issue on 22/03/2021 wherein facts and submissions made by CCL were dismissed.

CCL is going to challenge the original demand Order amounting to Rs 106.56 Crore before Income Tax Appellate Tribunal (ITAT).

- 7.15 Pursuant to the notification No. G.S.R. 463(E) dated 24th July, 2020 the definition of Materiality has been substituted in Ind AS 1, Presentation of Financial statements. Accordingly, the policy on Materiality in significant Accounting policy has been modified. However, there is no financial impact of the aforesaid change.
- 7.16 CCL used to supply Washed Medium Coking Coal (WMCC) to M/S SAIL & RINL at the price mutually agreed in MOU entered between CCL & SAIL / RINL, duly signed by the representatives of CCL & SAIL/ RINL. The last such MOU was valid upto 31.03.2017. As per CIL's guidelines, CCL notified the price of WMCC as Rs. 11,500 per tonne with effect from 14/01/2017 in compliance with doctrine of Import Parity as envisaged by New Coal Distribution Policy (NCDP) of Government with bonus/penalty clause variable in line with ash content.

As the MOU was valid up to 31/03/2017, but the Price Notification was issued on 14/01/2017, a provision for the period from 14/01/2017 to 31/03/2017 for the difference of MOU price and Notified price on the quantity despatched, amounting to Rs. 155.80 Crores (Rs. 126.16 Crores in respect of SAIL and Rs. 29.64 Crores in respect of RINL) has been made in the accounts during the year 2018-19.

After repetitive requests of M/S SAIL, CCL Board in its meeting dated 28/07/2018 agreed to supply WMCC at an ad hoc price of Rs. 6,500 per tonne with a condition that the report of an external agency to be appointed/engaged for establishment of fair and transparent Price Determination Mechanism shall be applicable and SAIL/RINL has agreed with the decision of CCL Board. Accordingly work order no. Washery(CCL)/WO/Price Mechanism (WMCC)/2019/745-50 dated 08.07.2019 has been issued to M/s. PWC Pvt. Ltd to review the existing price mechanism for washed medium coking coal (WMCC). Report has been submitted by M/s. PWC Pvt. Ltd. which is under consideration by CCL Board.

- 7.17 The Secretary to Government, Revenue, Registration and Land Reforms Department, Government of Jharkhand vide his Letter No. 5/Sa.Bhu (CCL) Ramgarh- 303/2012-519 (5)/Ra. Dated 07/02/2020 to The Chairman, Coal India limited has raised a demand of Rs. 26218.15 crores against 36179.30 acres of Government land under the command area of CCL. The demand comprises of Rent, Cess and Salami as lease bandobasti of land for lease period.

Land is acquired by CCL as per notification issued by Central Government under Section 9(1) of CBA (A&D) Act, 1957 and physical possession is taken under Section 12 of CBA (A&D) Act, 1957 which is free from all encumbrances. Accordingly, CCL didn't agree with the demand raised by state government. However, a meeting was held on 30.07.2020 between Hon'ble Minister of Coal & Hon'ble Chief Minister of Jharkhand to resolve the issue and as per the decision taken in the meeting, the company agrees to pay land compensation at present rural agricultural circle rate against Govt. Land to the Govt. of Jharkhand. The tentative liability for land compensation based on present rural agricultural rate comes to Rs. 778.62 Crore for 5,392.75 acres of Govt land and CCL released an adhoc payment of Rs. 550.00 Crore. The tentative liability of Rs. 778.62 Crore has been capitalised as Other Land under PPE which is subject to verification by district officials.

- 7.18 Due to imposition of Covid Cess @ Rs. 10 per Tonne by State Govt. on sale of coal, w.e.f. 6th July 2020 Gross Sale as well as Gross levies increased by Rs. 53.64 Cr. Due to imposition of Forest Transit Fee @ Rs. 57 per Tonne by State Govt. on sale of coal w.e.f. 1st October 2020 Gross Sale as well as Gross levies increased by Rs. 219.49 Cr. In compliance of the directive of CIL Board Meeting No. 415th item No. 4 Dated 24.12.2020, Company capitalised GST on Capital Goods w.e.f. 1st April 2020. Such capitalisation results in reduction in GST Receivable by Rs. 19.02 Cr. And consequent increase in PPE by the same amount & incremental depreciation has been charged on such PPE amounting to Rs. 0.70 Cr.
- 7.19 The Company has considered the possible effects that may arise out of the still unfolding COVID-19 pandemic in the preparation of the quarterly results including the recoverability of carrying amounts of financial and non-financial assets. The Company has used internal and external sources of information, economic forecasts etc. and the following impacts has been observed-
- The company expects that the carrying amount of the financial and non-financial assets will be recovered. Hence, no impairment has been recognised during the period.



CENTRAL COALFIELDS LIMITED

(A Mini Ratna PSU)

A Subsidiary of Coal India Limited

- b) Impact on demand of coal and impact on sales and expectations
- c) Impact on profitability of the company and expectations
- d) Impact on Liquidity (for e.g. delay in realisation from debtors) and future expectation

During this year ended 31.03.2021 demand of coal/sales, profitability and liquidity have been significantly affected due to COVID-19 pandemic lockdown and restrictions imposed by government. However, after relaxation in restrictions imposed by government, the company is gradually regaining its business operations to its normal and there is no impact on company's going concern.

The company will continue to closely monitor any material changes arising from future conditions and its impact on the business.

Others

- i. Previous year's figures have been restated, regrouped and rearranged wherever considered necessary.
- ii. Previous Year's figures in Note No. 3 to 38 are in brackets.
- iii. Note –1 and 2 represents Corporate information and Significant Accounting Policies respectively, Note 3 to 23 form part of the Balance Sheet as at 31st March, 2021 and 24 to 37 form part of Statement of Profit & Loss for the year ended on that date. Note – 38 represents Additional Notes to the Financial Statements.

Sd/-
(Ravi Prakash)
Company secretary

Sd/-
(J. P. Vishwakarma)
General Manager (Finance)

Sd/-
(N. K. Agrawal)
Director (Finance)
DIN- 0008525175

Sd/-
(P. M. Prasad)
Chairman-cum-Managing Director
DIN- 08073913

In terms of our Report of even date

For **K. C. Tak & Co.**
Chartered Accountants
(Firm Reg.No. 000216C)

Sd/-
(Anil Jain)
Partner
(Membership No. 079005)

Place : Ranchi
Dated : 04 June, 2021
UDIN: 21079005AAAAAR2632

